

Entersoft A.E.: Financial Statement Analysis, 2014-2017

University of West Attica, Dept. of Tourism Management | Analysis of Financial Statements, 2019-20 | Python (pandas, matplotlib), Excel

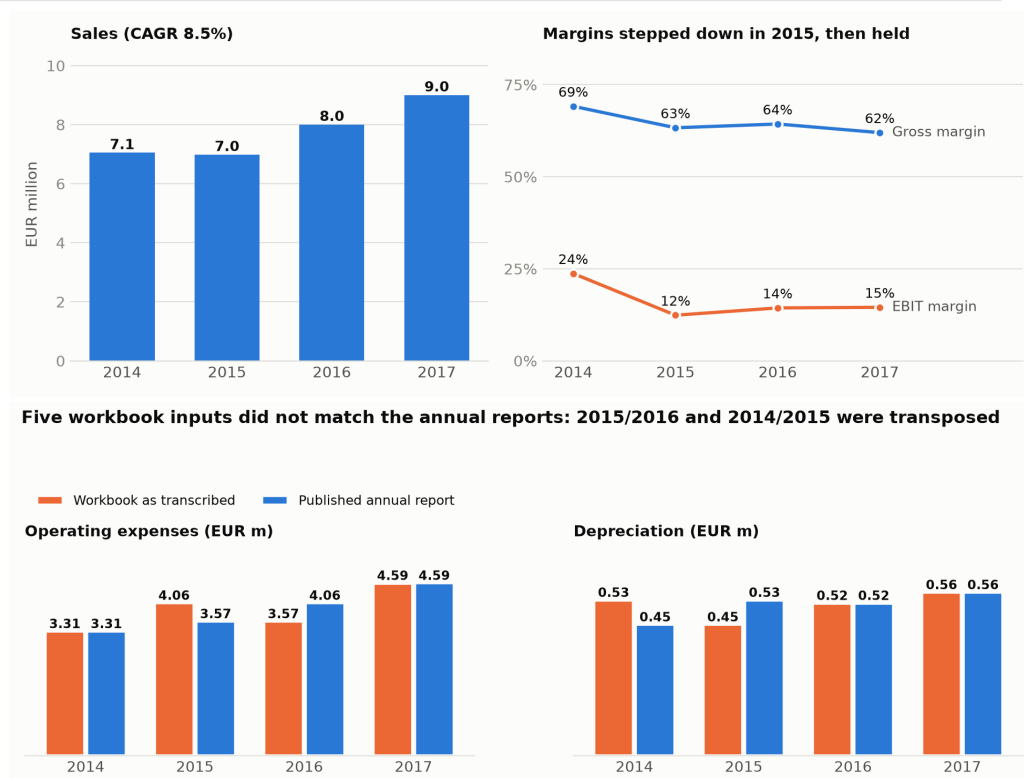
Question: how did an Athens-listed software company perform over four years, and do the coursework workbook's inputs match the published annual reports? The inputs were audited line by line against Entersoft's parent-company annual reports (FY2015-FY2017) before any analysis.

Key findings

- **Audit result: 5 of 76 inputs were wrong.** Operating expenses for 2015/2016 and depreciation for 2014/2015 were transposed, and 2017 operating expenses had a EUR 2,000 typo. Everything else (sales, profit before tax, every balance-sheet line) matched exactly. The corrected EBIT margin is 12.4% for 2015 (workbook: 5.4%) and 14.4% for 2016 (workbook: 20.5%).
- **Profitability stepped down in 2015, then held.** Sales fell 0.9% while cost of sales rose 17.8%: gross margin 69% to 63% and EBIT margin 24% to 12%. It then stabilised at 14-15% in 2016-17 while sales grew 12-15% a year.
- **2017: more sales, no more profit.** Profit before tax was flat (EUR 1.14m) because financial expense rose five-fold with EUR 1.4m of new short-term borrowing; interest cover fell from 31x to 7x.
- **Strong liquidity, weak working capital.** Current ratio 3.4-4.5x and equity funding 69-85% of assets, but receivables equal 54-60% of sales (about 200-220 days, 160-177 excluding VAT) against 7-56 days of supplier credit.
- **Original conclusion holds.** Ranked by profit before tax, 2014 > 2016 > 2017 > 2015 is confirmed on verified data; only the opex- and depreciation-based ratios in the original were distorted.

Key ratios (recomputed from raw statement items)

Ratio	2014	2015	2016	2017
Sales (EUR m)	7.05	6.99	8.01	9.01
Sales growth	13.4%	-0.9%	14.6%	12.5%
Gross margin	69.1%	63.3%	64.3%	62.0%
EBIT margin	23.7%	12.4%	14.4%	14.5%
EBITDA margin	30.1%	20.0%	20.9%	20.7%
Current ratio	3.9x	3.6x	4.5x	3.4x
Total liabilities / equity	0.45x	0.23x	0.18x	0.31x
Interest cover (EBIT / fin. exp.)	48.9x	11.3x	31.4x	7.0x
Receivables days	218	197	204	220
Payables days	19	56	16	7



Method and limitations

Method. Income statement rebuilt from line items; the mismatch with reported profit (+/- EUR 489,773 in 2015/2016) exposed the errors, which were then confirmed line by line against the annual reports; the corrected statements reconcile to reported profit within EUR 2. **Limitations.** Parent-company (standalone) statements only, four years of year-end balances, pre-tax profit only, one company and no peer benchmark.